



THE PSYCHOLOGY OF MONEY

Timeless Lessons on Wealth,
Greed, and Happiness

MORGAN HOUSEL



The Big "So What"

Many finance books focus on the technical aspects of money and investment, e.g. how to select stocks or build a portfolio. In this book, Housel addresses the often-neglected fact that we are irrational, emotional beings, not ROI-optimizing machines. Your financial success depends more on your soft skills (how you manage your psychology and emotional impulses) than your technical skills on financial analyses, market rules/laws.



Introduction



Housel has been writing about finance since 2008. Through his research, he realized that luck and human behaviors play a much bigger role in determining one's financial success than spreadsheets and analyses.

- For example, gas station attendant and janitor Ronald James Read managed to amass \$8 million over his lifetime by saving what he could and investing his money steadily in blue chip stocks. By contrast, Harvard graduate and Merrill Lynch executive Richard Fuscone went bankrupt during the 2008 financial crisis after spending extravagantly and borrowing heavily.



In this book, Housel shares his discoveries, beliefs and approach to money. Through a series of short stories and chapters, he presents 18 related biases, flaws, behaviors or attitudes that affect your financial outcomes. These jointly make up the psychology of money.

KEY QUOTES

"Soft skills are more important than the technical side of money."

"Physics isn't controversial. It's guided by laws. Finance is different. It's guided by people's behaviors."

"Doing well with money has a little to do with how smart you are and a lot to do with how you behave."

"Financial success is not a hard science. It's a soft skill, where how you behave is more important than what you know. I call this soft skill the psychology of money."



Understanding the Psychology of Money

In this section, we've organized the 18 overlapping concepts into 3 main themes.



Know Your Gaps, Limitations And Biases



We think we know how the world works, but our worldview is actually very limited. Each of our personal experiences reflect just a tiny fraction of the collective human experience over the generations.

- Our worldview is shaped by our life experiences. So, people from different generations, background and life experiences perceive money differently. Someone who grew up with poverty/starvation will interpret "risks" and "rewards" differently from someone from a wealthy family who never had to worry about money. Someone who survived WWII or lived through a recession would see money in a different light from someone who grew up in a stable economy.
- Others' financial decisions may seem crazy to you, but it makes perfect sense to them. You'll never understand someone's financial insecurities just by reading about it; you must experience it personally to fully grasp it.
- Although money has been around for thousands of years since 600 BC, most of our modern investment/financial tools are actually very new. For example, USA's 401(k)—the backbone of their retirement planning—was introduced in 1978, and the Roth IRA was added only in 1998. Even index funds were developed only in the 1970s. We've only had <50 years to master these new tools/concepts, making us collectively inexperienced in the modern money game.



We always have incomplete data on a situation. Yet, we don't realize what we don't know because our brains create stories to fill the gaps.

KEY QUOTES

"We all think we know how the world works. But we've all only experienced a tiny sliver of it."

"Every decision people make with money is justified by taking the information they have at the moment and plugging it into their unique mental model of how the world works."

"People do some crazy things with money. But no one is crazy."

"Your personal experiences with money make up maybe 0.00000001% of what's happened in the world, but maybe 80% of how you think the world works."

- This gives us an illusion of understanding, certainty and control, which is psychologically comforting but leads to bad decisions:
 - (i) During planning, we focus on what we can/want to do, neglecting other factors beyond our control.
 - (ii) We over-emphasize the impact of our skills and discount the role of luck or random events.
 - (iii) We become overconfident of our beliefs and knowledge. Even historians' accounts of history are biased because they look for facts and interpretations that confirm their opinions.
- Such stories are powerful enough to drive the economy. During a market bubble, people keep buying because they tell themselves that prices will keep rising. When the bubble bursts, people pull out of the market and tell themselves the future is bleak.
- Realize how much you don't know and can't control, and beware the stories you tell yourself. If you want something to be true, you're more likely to believe a story that exaggerates its probability. Just because you want your investment to double in 1 year doesn't make it more likely to happen. In reality, from 2008-2017, 85% of active mutual funds fell short of their benchmark.

 We tend to over-emphasize skills and effort, when outcomes are often influenced more by luck and risk.

- No success/failure is purely due to hard work or sound decisions. Your circumstances define the opportunities available to you. Every action you take also has unintentional ripple effects. Take Microsoft for example. Bill Gates was smart, hardworking, and had a rare affinity with computers. However, he was also lucky to attend one of the only high schools in his time with a computer (which Housel estimates to be a 1 in a million chance). Gates eventually co-founded Microsoft with his classmate Paul Allen. They had a close friend, Kent Evans, who shared their skills and passion with computers. Yet, Evans wasn't a part of Microsoft because he died on a mountaineering accident, another rare event. Both Gates and Evans were smart and loved computers, but they fell on 2 extreme ends of luck and risk.

KEY QUOTES

"The illusion of control is more persuasive than the reality of uncertainty."

*"Hindsight, the ability to explain the past, gives us the illusion that the world is understandable."
—Daniel Kahneman*

"The more you want something to be true, the more likely you are to believe a story that overestimates the odds of it being true."

"The accidental impact of actions outside of your control can be more consequential than the ones you consciously take."

"Realize that not all success is due to hard work, and not all poverty is due to laziness."

- Luck and risk exist in every situation. To be more objective:
 - (i) Don't draw conclusions from extreme examples, since they're likely to be strongly influenced by luck/risk and hard to replicate. Look for *broader patterns* across many cases. For example, it's hard to be the next Warren Buffett, but it's much easier to achieve time and money freedom.
 - (ii) Remember: *things are never as good or as bad as we think*. Don't be too quick to judge people, including yourself. Nothing (e.g. hard work, pride) is 100% good or bad. When things are going well, know that you're not invincible. When things are going badly, know that you're not a disaster.



A small number of events influence the bulk of our outcomes.

- A handful of unexpected outlier events, e.g. WWII, the invention of antibiotics or the internet, can change the course of history.
- We often hear about things that're unusually big, profitable or impressive. Such mega-successes are actually extremely rare and we underestimate how often things/people fail. For example, Disney made >400 loss-making cartoons before making a windfall with Snow White and the Seven Dwarfs. Heinz Berggruen amassed lots of art pieces, of which only a small portion turned out to be prized assets. Venture capitalists lose money with most of their investments, but recoup their earnings from the top 3-4% of startups.
- Don't over-react to failures. You can be wrong about half your investments and still make lots of money. If you consistently invest small amounts of money over a long time regardless of market conditions, you'll outperform the majority of people who pick stocks or move their investments in/out of the market.



History can help us to learn what worked/didn't work, and how to manage our expectations. However, past data/trends cannot accurately predict the future.

- That's because historical data cannot capture:

KEY QUOTES

"The world is too complex to allow 100% of your actions to dictate 100% of your outcomes."

"Nothing is as good or as bad as it seems."
—Professor Scott Galloway

"Long tails—the farthest ends of a distribution of outcomes—have tremendous influence in finance, where a small number of events can account for the majority of outcomes."

"A good definition of an investing genius is the man or woman who can do the average thing when all those around them are going crazy. Tails drive everything."

"Historians are not prophets."

- (i) Changes in people's *stories and preferences*, which drive their financial decisions;
 - (ii) *Outlier events* (e.g. WWII, the 2008 financial crisis) which are recording-breaking, with no precedents and no way to predict their details or ripple effects.
 - (iii) *Structural changes* in societies and economies that disrupt past trends/norms. For example, business financing, accounting rules, and hiring practices have changed drastically in the last 50 years. Changes like the internet, venture capital and crowd-funding have also made many old business practices obsolete.
- So, the farther the historical analyses, the more generic the conclusions must be.



Pessimism is more prevalent, but there's cause for optimism.

- Bad news and forecasts of doom/disaster are more attention-grabbing. The world seems worse than it is because:
 - (i) The news media play up bad news more than good ones.
 - (ii) It's human nature to react more dramatically to potential losses/threats than to potential gains/opportunities.
 - (iii) We notice setbacks/disasters more as they may happen overnight from a single point of failure, whereas growth/ progress tends to happen gradually. The invention of airplanes over the years changed history, yet it's not as sensational as a plane crash that killed everyone on board.
- In reality, things are getting better in the long run. Optimism is the belief that you have a good chance of positive outcomes in the long term despite short-term setbacks.
 - (i) Analysts and experts tend to make pessimistic forecasts based on current trends, without taking into account new *innovations and market adaptations*.
 - (ii) Human beings are *resilient and innovative*. Pain and problems motivate us to come up with new, novel

KEY QUOTES

*"This is not a failure of analysis.
It's a failure of imagination."*

*"The correct lesson to learn
from surprises is that the world
is surprising."*

*"Optimism sounds like a sales
pitch. Pessimism sounds like
someone trying to help you."*

*"Progress happens too slowly
to notice, but setbacks happen
too quickly to ignore."*

solutions. In the 1970s, it was forecasted that we'd run out of oil given our consumption levels and the rapid population growth. Yet, this didn't happen because we improved fuel-efficiency and developed innovative ways of fuel-extraction. Japan was in ruins at the end of WWII, yet it managed to recover strongly.



We're not computers or spreadsheets. We're human beings with irrational feelings. So, don't try to be coldly rational in your financial decisions; it won't work. Instead, aim to be mostly reasonable, taking into account your human tendencies.

- In theory, you should go for riskier investments when you're young, since you'll still have time to start afresh if you lose everything. But in reality, if you lose everything, you'll probably quit and switch to another strategy.
- Your historical odds of positive returns in the U.S. markets are 68% in 1 year, 88% in 10 years, and 100% in 20 years. Instead of trying to beat the market through short-term speculations, you're better off if you can stick around long enough for your investments to pay off.



Adopt a Survival Mindset and Leverage Compounding



Warren Buffett may be a brilliant investor, but his biggest secret isn't his investment strategy or formula; it's time. Unlike most people, he started investing when he was 10 years old, so by the time he was 30 (when most people start investing), he already had a net worth of \$1 million. Even so, \$81.5 billion of his \$84.5 billion net worth came after his 65th birthday. That's the power of compounding and time.

- Scientists now estimate that there were 5 ice ages in Earth's history (not just one). They theorize that a small sliver of ice left over from a cool summer is enough to trigger compounded changes in global temperatures to cause an ice age.
- Compounding only works if you can give an asset years to grow, like an oak tree slowly reaching maturity. You don't need high returns; you need decent and consistent returns.

KEY QUOTES

"Aiming to be mostly reasonable works better than trying to be coldly rational."

"Investing has a social component that's often ignored when viewed through a strictly financial lens."

"Time is the most powerful force in investing."

"If something compounds—if a little growth serves as the fuel for future growth—a small starting base can lead to results so extraordinary they seem to defy logic."

- (i) Don't take big risks in hope of getting the highest-possible returns. Go for decent returns that can be sustained over a long time.
- (ii) Extend your time horizon: start as early as possible, and wait for the money to grow.



Getting wealthy ≠ Staying wealthy.

- There're many ways to acquire money, most of which require you to take some risks. However, once you have the money, the only way to keep it is through a blend of frugality and caution. Realize that you may not be able to replicate your earlier success, and could easily lose the money you have. So, be as frugal and cautious as possible. After all, there are very few things worth the risk of wiping yourself out.
- Adopt a survival mindset by doing 3 things:
 - (i) Aim to be *financially unbreakable* so you can stick around long enough for compounding to work. Remember: you don't need high returns; you just need consistent and uninterrupted returns over a long period of time.
 - (ii) Expect that things won't go according to plan. Build in a *margin of error* and always live within your means.
 - (iii) Have a *barbelled personality*: be optimistic about the future, yet paranoid about the obstacles that could get in the way.



No matter how thorough your plans are, things will still turn out differently. So, always plan based on probabilities (not certainty) and include a margin of safety. This will prepare you for a wider range of outcomes. In Microsoft's earlier days, Bill Gates aimed to set aside a full year's payroll as a financial buffer. Likewise, Warren Buffett always ensures that Berkshire Hathaway has more than ample cash.

- Cater for volatility in your investment plans. For example, can you survive (both technically and emotionally) if your assets fall by 30%?
- In your retirement plans, build some buffers into your expected returns. You can aim for 8% return rates, but

KEY QUOTES

*"Getting money is one thing.
Keeping it is another."*

*"There's only one way to stay
wealthy: some combination of
frugality and paranoia."*

*"Good investing is not
necessarily about making good
decisions. It's about
consistently not screwing up."*

*"The most important part of
every plan is planning on your
plan not going according to
plan."*

*"The first rule of compounding
is never interrupt it
unnecessarily."
- Charlie Munger*

make sure you'll be ok with just 4%. To be conservative, Housel assumes that his long-term returns will be a third lower than historical rates.

- Never gamble with every dollar you have. Even if something has a 98% chance of success, you still face a 2% risk of failure. Adopt a barbelled approach to money by setting aside a portion of your funds for riskier investments, and safeguarding the rest.
- To minimize the damage from potential disasters, avoid single points of failure, such as having a single source of income.
- Set aside some rainy-day funds or savings for unexpected events.



Everything has a price, though not necessarily in monetary terms. Be willing to pay the price for financial success.

- Market returns don't come for free. Higher returns tend to come with higher risks—and with it, the price of uncertainty, doubt and potential regret. When you invest for the long term, you must be prepared to accept short-term market fluctuations.
- Think of market volatility as a fee for investment, not a loss, fine or penalty. After all, we willingly pay for good food, cars, houses and vacations. Why not pay a fee for good investment returns?



Know and Focus on your Financial Goals



One of the hardest things to do is to stop shifting your goalpost. We hear of people who already have unimaginable amounts of wealth, power and prestige, yet end up in ruin because they allow greed to get the better of them.

- Don't compare with others since there'll always be someone who has more than you. If your ambition and expectations continually outgrow your satisfaction levels, you'll never be happy.
- Enough ≠ too little. The opposite of "enough" is to be insatiable to the point of regret. Know when to stop

KEY QUOTES

"You should be risk loving and yet completely averse to ruin."

—Nassim Taleb

"Everything has a price, but not all prices appear on labels."

"Define the cost of success and be ready to pay for it. Because nothing worthwhile is free."

"The hardest financial skill is getting the goalpost to stop moving."

"Happiness, as it's said, is just results minus expectations."

pursuing more. There's no point losing what you have (e.g. reputation, freedom, love, happiness) for what you don't need.



Studies have found that the most important factor behind people's happiness is the sense of control over one's life, not material factors like the size of their salary, house or status.

- Money is important not because it allows you to buy luxury goods, but because it has the potential to buy you time and the freedom of choice. Being independent doesn't mean you must stop working. It simply gives you the flexibility to choose what work to do, when you do it and with whom you do it with. The highest level of wealth is the ability to choose what you want to do when you wake up each morning.



People seek wealth and status to signal how successful they are. Ultimately, what they want is others' respect and admiration.

- Unfortunately, you won't gain respect by flaunting your wealth. We may admire a nice car and imagine how cool it'd be if we could drive that car, but we don't notice the drivers. People will envy your possessions, not you. The best way to be liked, respected and admired is to be kind, humble, and empathic.



People want to be millionaires because they want to spend a million dollars. Yet, spending a million dollars is literally the opposite of being a millionaire, since wealth = the amount of money you don't spend.

- Know the difference between being "rich" vs "wealthy":
 - (i) Rich people have high incomes, and they spend it on big homes and fancy cars. They display their buying power.
 - (ii) Wealthy people keep their money, and use it to increase their options and buying power in the future.
- To be wealthy, you need the discipline to focus on your longer-term goal. Resist the temptation to spend the money now, either to flaunt it or to enjoy something immediately.

KEY QUOTES

"There's no reason to risk what you have and need for what you don't have and don't need."

"The ability to do what you want, when you want, with who you want, for as long as you want, is priceless. It is the highest dividend money pays."

"No one is impressed with your possessions as much as you are."

"The only way to be wealthy is to not spend the money that you do have...it's the very definition of wealth."

"Spending money to show people how much money you have is the fastest way to have less money."

 Your savings rate matters more than your income or investment returns, and it's fully within your control. Someone who earns \$20,000 but saves/invests \$5,000 will be much wealthier than someone who earns \$100,000 and saves/invests \$1,000.

- The best way to increase your savings is to decrease your ego. The most financially-resilient people don't earn the most; they simply don't waste money to impress others.
- Don't save money just to buy a house or car; save as a good habit. More savings mean more money to compound, more flexibility/control over your time, and more financial buffers during tough times, e.g. you can hold on to your investments or wait for better opportunities instead of being forced sell them out of desperation.

 Our dreams, priorities and personality will change we age and experience life. What we want and need today will not be the same as what we want and need in 10, 30, or 50 years.

- In your financial planning, avoid the extremes, e.g. don't assume you'll be ok with very low income, or to work long hours for more money.
- Accept that your priorities will change. Don't allow sunk costs (past efforts or investments) to tie you to the past. Accept that you've changed your mind, and move on.
- Leverage the power of compounding in all aspects of your life. At every point in your life, consistently invest in the things that matter to you, e.g. set aside some savings, time for yourself and with your loved ones.

 Someone who's investing with a 30-year horizon should approach the market differently from someone with a 1-year or even a 1-day horizon. Don't blindly follow others, since they may be playing a totally different financial game than you.

- Market bubbles occur partially because people take financial cues from others. Many "investors" are actually speculators hoping to make a quick buck. Short-term traders (e.g. people doing same-day stock-trading) are attracted by short-term momentum. As more of such traders enter a market, bubbles start to form. Once the

KEY QUOTES

"Past a certain level of income, what you need is just what sits below your ego...Less ego, more wealth."

"Building wealth has little to do with your income or investment returns, and lots to do with your savings rate."

"Long-term planning is harder than it seems because people's goals and desires change over time."

"Beware taking financial cues from people playing a different game than you are."

"Bubbles aren't so much about valuations rising. That's just a symptom of something else: time horizons shrinking as more short-term traders enter the playing field."

momentum is lost, these traders will exit the market. Long-term investors will suffer if they follow suit.

- Most analysts' stock recommendations are also made without considering your personal investment goals. When you see a doctor, you'd expect him to do a proper diagnosis before recommending a treatment. Likewise, only consider financial advice tailored to your financial goals.
- Get clear on the game you're playing. To stay focused, try writing down a mission statement for your investments. For example, Housel's statement was: "I am a passive investor optimistic in the world's ability to generate real economic growth and I'm confident that over the next 30 years that growth will accrue to my investments."



Putting it Together

Here's a quick recap of the key ideas which we've consolidated into the 3 sections above:

Chapter title in the book	Key idea
No one's crazy	People have different views about money
Luck & risk	Luck/risk have a bigger impact than skills
Never enough	Learn to stop shifting the goalpost
Confounding compounding	Leverage the power of compounding
Get wealthy vs. Stay wealthy	Getting wealthy ≠ staying wealthy
Tails, you win	Be ok with failures—they're the norm
Freedom	Freedom is invaluable
Man in the car paradox	Money doesn't buy respect
Wealth is what you don't see	Riches are displayed; Wealth is hidden
Save money	Less ego → more savings
Reasonable > rational	Be reasonably sensible (not coldly rational)
Surprise!	The past doesn't predict the future
Room for error	Have a margin of safety
You'll change	Expect your future self to change
Nothing's free	Be willing to pay the price for success
You & me	Know and play your own game
The seduction of pessimism	There's cause for optimism (in the long run)
When you'll believe anything	Beware your stories

KEY QUOTES

"There is no single right answer; just the answer that works for you."



There's usually a gap between what people advise you to do and what they'd do themselves. Housel ends off by sharing his family's financial approach. In a nutshell:

- They only have 1 main financial goal: independence or the ability to do what they want on their own terms. They're contented with a decent house, a car, and a modest lifestyle. As their income increased over the years, they saved most of it because they were already comfortable with their lifestyle. They enjoy free/low-cost activities like exercising and reading, and don't see the need to spend money to impress others. In short, they stopped moving their goalpost.
- In fact, they bought their house without a mortgage. This makes no financial sense, but it gives them a peace of mind which they value above all else. Housel also maintains 20% of his assets (besides his home) in cash as a safety net.
- Housel started out as a stock-picker but no longer invests in individual stocks. All his stock market investments are now in low-cost index funds. So long as he's financially independent, he doesn't care whether he beats the market or maximizes his returns.



The approach above works for Housel, but it may not work for you. The key is to get clear on your own goals, design your own game accordingly, and manage your relationship with money so you can have a happy and fulfilling life.



Other Details in the Book to Look out For

Housel presents short stories and empirical research to explain each of the overlapping concepts above. The book also includes a postscript about why consumers in the USA think the way they do. For more details and articles by Housel, please visit www.collaborativefund.com.

KEY QUOTES

"Cash is the oxygen of independence."

"Having more control over your time and options is becoming one of the most valuable currencies in the world."

"Every investor should pick a strategy that has the highest odds of successfully meeting their goals."